

Daily Market Summary

July 01, 2026

Market Tone — Today's Session

A recap of how the market traded today — not a forecast.

Today: -0.16 → Slightly Bearish

Trend (5-day EMA): -0.01 → Neutral — smoothed, the readable day-over-day signal.

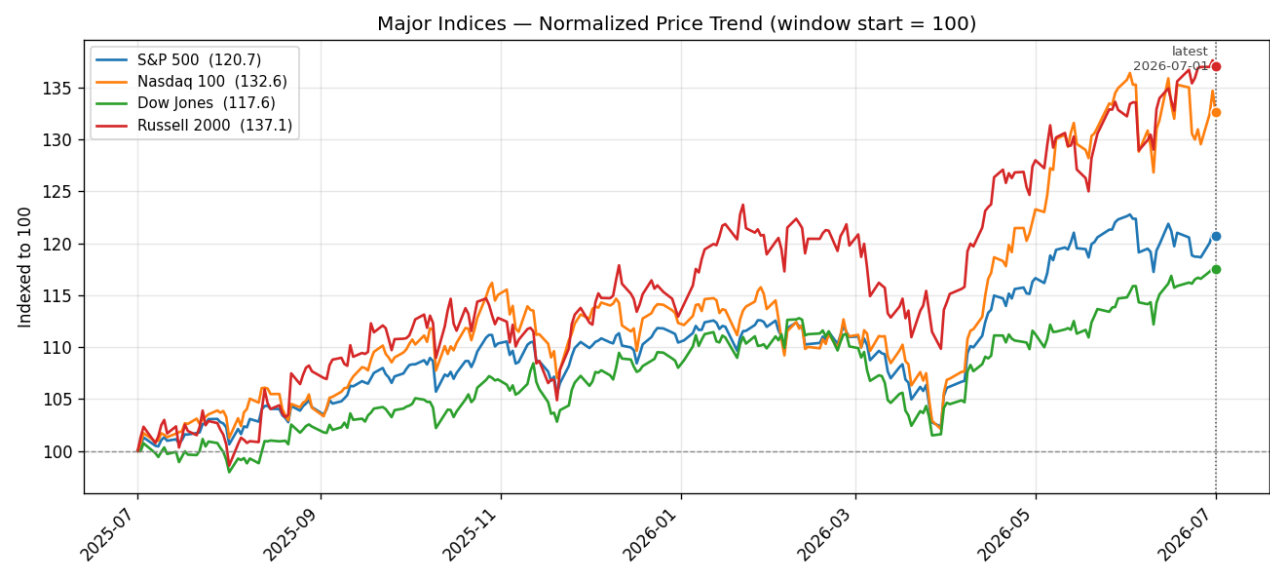
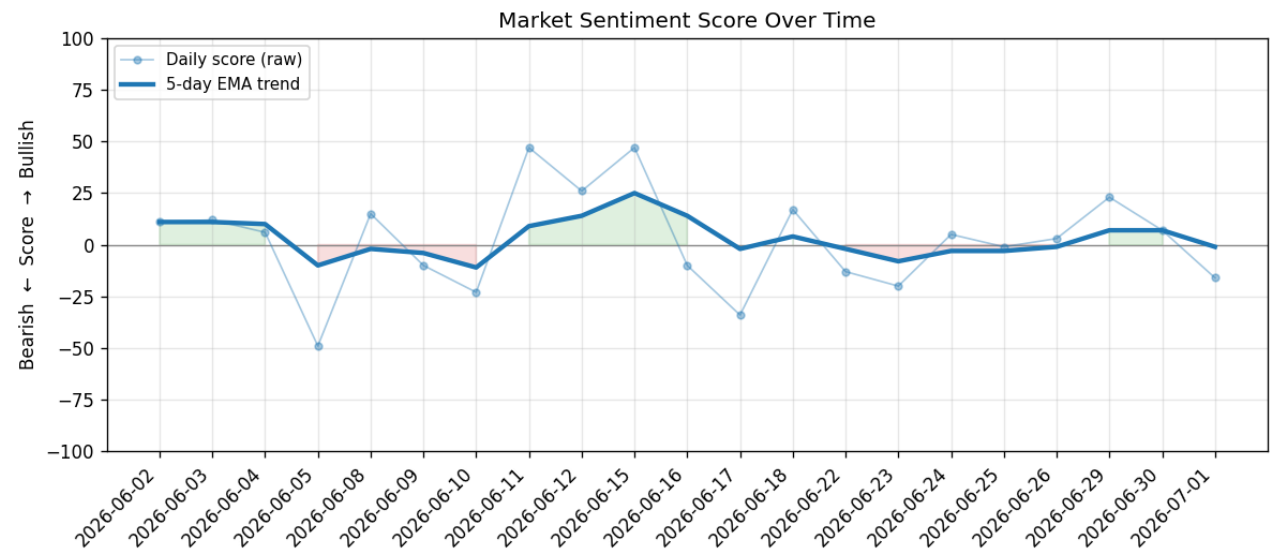
Component	Weight	Score
Market data	70%	-0.16
News headlines	20%	-0.36
Reddit (disabled)	0%	+0.01
Fed (rate expectations)	10%	+0.21

Equities fell with Nasdaq -1.5%, S&P 500 -0.2%, VIX +0.8%. Sector breadth: 7/11 sectors up. 10Y yield +1.3%. News headlines read bearish. Fed-policy expectations eased (13-Week T-Bill Yield -3.2bp). Today's overall market tone: Slightly Bearish. (news scored with finbert)

Standout headlines

- Most bullish (+0.34) — Sorry for tanking the semi conductor market, i bought \$800k worth of NVDA at the top last Friday
- Most bearish (-0.96) — Sandisk's and Micron's stocks sink as the rotation trade builds, but supply shortages should limit losses

Trend Charts



Sector Watch (AI Stack)

Score describes the day: driven by the session move (70%), with breadth (avg % of the 20/50-day MAs the basket trades above, 15%) and news (15%) for texture. Relative strength (vs the Nasdaq for tech baskets, the S&P for the rest) is shown as a context column but doesn't drive the label. Sorted strongest→weakest.

Sector	Move	Rel. Str.	Breadth	News	Overall
SaaS	+2.91%	+4.45% vs Nasdaq	56%	—	Bullish (+0.90)
Banking	+2.12%	+2.34% vs S&P	88%	—	Bullish (+0.89)
Hyperscalers & Neoclouds	+1.07%	+2.61% vs Nasdaq	36%	—	Bullish (+0.46)
Pharma / Healthcare	-0.43%	-0.21% vs S&P	81%	—	Slightly Bearish (-0.11)
Consumer	-0.29%	-0.07% vs S&P	38%	—	Slightly Bearish (-0.28)
Memory (DRAM/NAND/HBM)	-8.45%	-6.91% vs Nasdaq	62%	—	Bearish (-0.85)
Semiconductors / Compute	-5.28%	-3.74% vs Nasdaq	50%	—	Bearish (-0.88)
Networking / Interconnect	-5.73%	-4.19% vs Nasdaq	36%	—	Bearish (-0.92)

Positioning & Regime

Was today bullish or bearish, read through positioning: out-of-the-money put/call volume (hedging vs chasing, daily) and short %-of-float (squeeze fuel; exchange data, biweekly) explain the character of the day's move — squeeze rebound, hedged advance, conviction selling. **Under evaluation** — logged daily, drives no scores.

Basket	OTM P/C	Short Flt	Day	Today's Read
Banking	1.20	0.0%	+2.13%	Bullish — advance, but heavily hedged — protection still bid
Pharma / Healthcare	1.06	1.7%	-0.44%	Bearish — orderly decline; positioning unremarkable
Memory (DRAM/NAND/HBM)	0.98	6.5%	-8.44%	Bearish — orderly decline; positioning unremarkable
Consumer	0.87	1.9%	-0.29%	Bearish — orderly decline; positioning unremarkable
Semiconductors / Compute	0.61	2.9%	-5.28%	Bearish — decline without hedging demand — flows not panicked
Networking / Interconnect	0.56	5.3%	-5.73%	Bearish — decline without hedging demand — flows not panicked

Hyperscalers & Neoclouds	0.54	1.5%	+1.07%	Bullish — broad advance; positioning unremarkable Bullish — short-squeeze rebound — shorts/puts were loaded into the selloff and fueled the rip
SaaS	0.53	5.8%	+2.91%	
All tracked	0.66	2.3%	-0.29%	Bearish — decline without hedging demand — flows not panicked

Top Gainers

Company	Price	% Change
DSC Holdings Ltd. (DSC)	7.71	+39.67%
Regencell Bioscience Holdings L (RGC)	8.03	+31.86%
Freedom Holding Corp. (FRHC)	157.11	+20.42%
Maase Inc. (MAAS)	15.62	+20.15%
Reddit, Inc. (RDDT)	197.76	+13.93%

Top News

CoreWeave, Nebius shares tumble as Meta stands to become a fresh threat in the cloud — MarketWatch (Top)

Meta’s reported interest in monetizing its AI infrastructure is leading investors to question the sustainability of neocloud business models.

Warsh faces multiple alternative inflation signs as Fed charts new course — CNBC (Finance)

Warsh has said that inflation is a "choice." The same could also be true of how inflation is measured.

US Treasury picks BlackRock, Vanguard ETFs for Trump Accounts — Investing.com

Where can I invest my kid’s ‘Trump account’ money? The Treasury Department just answered that question. — MarketWatch (Top)

The money in “Trump accounts” has to be invested in low-cost index funds — and now parents and investors are learning which funds they can actually use.

Stocks making the biggest moves midday: Meta, General Mills, Datadog, Sandisk & more — CNBC (Finance)

These are the stocks posting the largest moves midday.

Market Snapshot

Major Indices

Instrument	Price	Change	% Change
S&P 500	7,483.23	-16.13	-0.22%
Nasdaq 100	29,809.13	-467.21	-1.54%
Dow Jones	52,305.24	-13.96	-0.03%
Russell 2000	3,012.59	-11.78	-0.39%
VIX	16.59	+0.14	+0.85%

Key Stocks

Instrument	Price	Change	% Change
Nvidia	197.58	-2.51	-1.25%
Microsoft	384.28	+11.26	+3.02%
AMD	540.88	-40.03	-6.89%
Meta	612.91	+49.62	+8.81%
Alphabet	357.89	+4.56	+1.29%
Broadcom	369.34	-8.41	-2.23%
Micron	1,032.28	-122.01	-10.57%
Intel	127.02	-12.61	-9.03%
SanDisk	2,032.22	-241.51	-10.62%
Coherent	368.65	-25.82	-6.55%
Amazon	241.70	+3.36	+1.41%
Apple	294.38	+5.02	+1.73%
Arm	337.47	-17.10	-4.82%

Commodities & Crypto

Instrument	Price	Change	% Change
Gold	4,051.00	-31.40	-0.77%
Crude Oil	68.03	-0.55	-0.80%
Bitcoin	60,423.18	+1,913.62	+3.27%

FX Rates

Instrument	Price	Change	% Change
EUR/USD	1.14	-0.00	-0.39%
USD/JPY	162.54	-0.01	+0.00%
GBP/USD	1.33	+0.00	+0.13%

Interest Rates

Instrument	Price	Change	% Change
10Y Treasury Yield	4.47	+0.06	+1.29%
13-Week T-Bill Yield	3.70	-0.03	-0.86%

Analyst Summary

Market Overview

U.S. equities closed mixed on July 1st as a sharp sector rotation drove divergent performance across major indices. The Nasdaq 100 fell 1.54%, weighed down by a semiconductor selloff, while the Dow Jones held essentially flat (-0.03%) and the S&P 500 dipped 0.22%. The VIX edged up 0.85% to 16.59, though options positioning suggests the decline was orderly rather than panicked.

Semiconductor Rout Drives Tech Weakness

A violent rotation out of semiconductor and memory stocks dominated the session. Micron plunged 10.57%, SanDisk tumbled 10.62%, and Intel dropped 9.03% amid headlines about supply glut concerns and Meta's potential cloud pivot. AMD fell 6.89%, Nvidia declined 1.25%, and Arm shed 4.82%. The Memory sector fell 8.45%, while the broader Semiconductors/Compute segment lost 5.28%. Positioning data showed put/call ratios below 0.65 for these sectors, indicating the selloff occurred "without hedging demand" — a sign that flows were not panicked, but rather reflected profit-taking or strategic repositioning.

Meta's Cloud Ambitions Fuel Rotation

Meta surged 8.81%, adding nearly \$50, as reports emerged that the company is building a cloud business to sell excess AI compute capacity. The move fueled gains across hyperscalers and software: Microsoft rose 3.02%, Amazon gained 1.41%, and the SaaS sector rallied 2.91%. The SaaS sector showed signs of a short-squeeze rebound, with a low put/call ratio (0.53) and elevated short interest (5.8%). Banking also advanced 2.12% with strong breadth, though a put/call ratio of 1.20 suggests heavy hedging activity despite the rally.

Macro and Policy Backdrop

Fed Chair Kevin Warsh declined to signal a July rate decision but reiterated that inflation remains "too high," even as Kalshi traders bet that inflation peaked in May. The 10-year Treasury yield rose 6 basis points to 4.47%, while the Atlanta Fed slashed its Q2 GDP growth forecast from 3.0% to 1.2%, underscoring stagflation concerns. Euro area inflation fell to 2.8%, and Bitcoin rallied 3.27% to \$60,423, potentially reflecting safe-haven demand or risk appetite amid fiat currency uncertainty.

Notable Movers

Among broader market gainers, DSC Holdings surged 39.67%, Regencell Bioscience jumped 31.86%, and Freedom Holding climbed 20.42%. Reddit rallied 13.93%, continuing its volatile post-IPO trajectory.